100% AFFORDABLE RENTAL COMMUNITY

East Niles Residences

430 Affordable Homes · 15.16 Acres · Three Phases

430	15.16	3	SB 423	130%
HOMES	ACRES	PHASES	MINISTERIAL	QCT BOOST

HUD QCT TRACT 11.04 · CALENVIROSCREEN TOP 25% DAC · DENSITY BONUS LAW · 4% LIHTC

THE SITE

Site and Infrastructure

One vacant 15.16-acre legal parcel in East Niles / 93306. Zoning is MP; General Plan is HMR + HC, with HMR at 17.42 du/net acre. Commercial to the north and west; residential to the east and south.

Utility infrastructure is already nearby or available at the site: ENCSD's 8-inch Center Street sewer is indicated to have capacity, a ~10-inch water main and hydrants sit nearby (historical 950 GPM), electric is at the service address, AT&T is on telecom, and an existing sump handles the first cut of stormwater. Final sewer, water, and drainage engineering still have to lock the design.

SEWER	WATER	POWER / TEL	STORM
ENCSD 8-inch Center St.	**~10-inch main + hydrants**	**Electric at the address**	**Existing sump on site**
Capacity indicated	Historical 950 GPM	AT&T on telecom	First-cut stormwater

WHY HERE

Location Advantages

The site sits in HUD QCT tract 11.04 — that is the 130% basis boost on a 4% deal. It is also a CalEnviroScreen Top 25% DAC, Very Hard-to-Count, and AHSC ICP-eligible (qualifying transit, not TOD). Tract profile: 91.5% minority, MFI about 55% of AMI, 31.8% poverty.

THE SCARCE STACK — THIS IS THE ASSET

QCT + DAC + CES Top 25% + Very Hard-to-Count + existing transit + a community health center within a mile. That is the asset. AHSC eligibility is not an award.

QCT 11.04 · 130% BASIS · DAC · CES TOP 25% · VERY HTC · AHSC ICP

11.04	130%	91.5%	55%	31.8%
HUD QCT TRACT	BASIS BOOST	MINORITY	MFI OF AMI	POVERTY

CAPITAL & APPROVALS

Financing and Entitlement Advantages

QCT tract 11.04 unlocks a 130% eligible-basis boost on 4% federal LIHTC, plus California state credit equity on the same stack. A 100% affordable structure brings Density Bonus Law — extra density and concessions/waivers, which is how 430 units fit. SB 937 defers most impact fees to first C of O (utility connection charges can still come earlier). Nonprofit ownership is underwritten at $0 property tax.

APPROVAL PATH

SB 423 Path

Counsel's March 2026 opinion puts the site on a ministerial SB 423 path: no CUP, no hearing, CEQA off. The statutory tests hold — vacant 15.16-acre parcel, residential GP/zoning, Census urban area, 75% urban perimeter, 430-unit affordable rental program. Density Bonus Law is what produces the units.

NO CUP · NO HEARING · CEQA OFF · MINISTERIAL

ON THE MATH

430 Units

County-confirmed HMR is 17.42 du/net acre on ~14.4 net acres → ~251-unit base. A 100% affordable structure gets an 80% bonus, ceiling ~452 units. 430 needs a 71% bonus — 22 units under the cap.

~251	430	~452
BASE	PROPOSED	CEILING

SB 423 is how you approve it. Density bonus is how you get to 430.

DELIVERY

Three Phases

The project is divided into three phases, with each phase delivering roughly one-third of the planned community, or about 145 units.

PHASE 1

145 units

First third · $64.53M TDC

PHASE 2

~145 units

Second third of the community

PHASE 3

~145 units

Final third · 430 total

PHASE ONE

Phase 1 Snapshot

PHASE 1 SNAPSHOT	VALUE
Units	**145**
Phase 1 TDC	**$64.53M**
4% LIHTC + QCT equity	**~37% of TDC**
Capital stack already structured	**~68%**
Sponsor cash	**~2.2% of TDC**
Permanent debt coverage	**1.40x DSCR**

*Subject to transaction qualification. Returns are illustrative and depend on the assumed sponsor cash, deferred-fee recovery, financing and public-funding structure.

INVESTMENT CASE

Why This Project Makes Sense

- 4% LIHTC + QCT does the heavy lift — approximately 37% of Phase 1 TDC.
- About 69% of the capital stack is already identified through tax-credit equity, permanent debt, deferred developer fee and GP equity.
- Sponsor cash requirement is low relative to total development cost.
- Debt is conservatively sized at 1.40x DSCR, modeled at 5.50% / 35 years.
- Developer fee is built into the capital structure — deferred as a source and recovered over time.
- The remaining ~$20M is the public-funding job. The site brings QCT + DAC + ICP positioning.
- The 25% bond-financing threshold improves closability for qualifying post-2025 4% transactions.

A WALKABLE, TREE-LINED COMMUNITY · EAST NILES